Ledgerline Software Pty Ltd
Senior Secured Facility

Information memorandum: A$35.0M recurring-revenue term loan with delayed-draw tranche

Prepared for prospective senior lenders

Prepared by Corliss & Grant Advisory

Version 1.0, 9 February 2026

Strictly private and confidential

Reference: CGA-IM-LSP-2026-001

Date: 9 February 2026

Synthetic - for demonstration. All names, entities and figures are fictional.

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Borrower	Ledgerline Software Pty Ltd
ABN	80 129 997 467
Registered office	Level 12, 88 Clarence Street, Sydney NSW 2000
Sponsor	Halcyon Growth Partners Pty Ltd (as manager of Halcyon Growth Fund II)
Facility	Senior secured recurring-revenue term loan with delayed-draw tranche, A$35.0M
Debt arranger	Corvane Capital Advisory Pty Ltd
Prepared by	Corliss & Grant Advisory
Prepared for	Prospective senior lenders
Date and version	9 February 2026, version 1.0

Document and transaction details

Important notice

This information memorandum has been prepared by Corliss & Grant Advisory at the request of Ledgerline Software Pty Ltd (Ledgerline or the company) for the sole purpose of assisting prospective lenders to decide whether to submit an indicative offer. It is not an offer, a recommendation or financial product advice. Information has been drawn from the company and its advisers and has not been independently verified by Corliss & Grant Advisory except where stated.

This memorandum is dated 9 February 2026. Several reference points used in it fall after that date. Annual recurring revenue (ARR) of A$41.0M at 31 March 2026 is management's current estimate based on contracted subscriptions and the committed pipeline, and will be confirmed in management accounts scheduled for 15 April 2026. The independent valuation, updated financial information and the indicative term sheet are also scheduled for dates after this memorandum, as set out in Section 2.4. Lenders should treat those items as subject to change. ARR is a management metric and is not audited.

1. Executive summary

1.1 The opportunity

Ledgerline develops and sells subscription cloud accounting software to Australian and New Zealand small and medium enterprises (SMEs), and sells through a network of accounting and bookkeeping practices that resell the platform. The company seeks a senior secured recurring-revenue term loan of up to A$35.0M with a 48 month tenor. A$30.0M is to be drawn at financial close and A$5.0M is available as a delayed-draw tranche for permitted acquisitions within 18 months.

Proceeds will refinance existing bank term debt of A$9.0M, fund the acquisition of a payroll software tuck-in business, provide growth capital for product development and sales capacity, and meet transaction costs.

1.2 Credit highlights

- ARR of A$41.0M (management estimate at 31 March 2026), up from A$39.6M at 31 December 2025 and growing 24.0% year on year.
- Recurring subscription revenue is about 94% of total revenue, with gross margin of 79%.
- Net revenue retention of 108% and gross revenue retention of 92% across approximately 9,400 paying business accounts and 1,150 accounting practices.
- The company is profitable on an adjusted EBITDA basis (A$6.1M) and generates positive operating cash flow.
- Drawn debt of A$30.0M is 0.73x ARR. The full A$35.0M limit is 0.85x ARR and 21.3% of the indicative enterprise value of A$164.0M (4.0x ARR).
- Halcyon Growth has been a shareholder since 2021, invested A$28.0M, and holds two board seats.

1.3 Key metrics

Metric	Value
ARR (31 March 2026, estimate)	A$41.0M
ARR at 31 December 2025	A$39.6M
ARR growth, year on year	24.0%
LTM revenue	A$38.9M
Adjusted EBITDA (LTM)	A$6.1M
Facility limit	A$35.0M
Drawn at close	A$30.0M
Pro forma net debt	A$23.2M
Total debt to ARR (drawn)	0.73x
Total debt to adjusted EBITDA (drawn)	4.9x
Facility limit to indicative enterprise value	21.3%

Summary credit metrics

2. The proposed transaction

2.1 Facility terms

Borrower	Ledgerline Software Pty Ltd
Facility type	Senior secured recurring-revenue term loan with delayed-draw tranche
Facility limit	A$35.0M
Initial draw	A$30.0M at financial close
Delayed-draw tranche	A$5.0M, available for permitted acquisitions within 18 months
Tenor	48 months
Cash margin	3-month BBSW plus 6.25% p.a.
Establishment fee	2.00% of the facility limit (A$0.70M)
Commitment fee	1.00% p.a. on undrawn amounts
Repayment	Interest only for the full term, with a cash sweep of 1.0% p.a. of drawn principal from month 25
Financial covenants	Minimum ARR, maximum total debt to ARR, minimum liquidity

Indicative facility terms (subject to the term sheet)

2.2 Sources and uses at financial close

The initial draw of A$30.0M is applied as shown below. The acquisition amount is management's current estimate and will be finalised in the sale agreement. The delayed-draw tranche is not included because it is available only for further permitted acquisitions.

Item	A$M
Sources: term loan drawn at close	30.0
Uses: refinance existing bank term debt	9.0
Uses: payroll tuck-in acquisition	12.5
Uses: transaction costs	1.7
Uses: cash to balance sheet for product and sales investment	6.8
Total uses	**30.0**

Sources and uses

Transaction costs comprise the establishment fee of A$0.70M and about A$1.0M of arranger, legal, due diligence and other costs. Cash retained at close of A$6.8M gives pro forma net debt of A$23.2M.

2.3 Illustrative debt service

On an illustrative 3-month BBSW of 4.00%, the all-in cash rate on the drawn balance is 10.25% p.a., or about A$3.1M of annual cash interest on A$30.0M. The commitment fee on the undrawn A$5.0M is about A$0.05M p.a. Adjusted EBITDA of A$6.1M covers cash interest about 2.0 times. Adjusted EBITDA is stated before the cash cost of capitalised development, so cover on a cash basis will be lower. Kestrel Assurance Partners will quantify this in its financial due diligence report.

2.4 Indicative timetable

Milestone	Date	Status
Information memorandum issued	9 February 2026	Issued
Updated financial information	20 February 2026	Scheduled
Independent valuation (Marlow Quay)	6 March 2026	Scheduled
ARR reference date	31 March 2026	Management estimate
Management accounts	15 April 2026	Scheduled
Indicative term sheet	4 May 2026	Target

Key dates

3. The borrower

3.1 Business overview

Ledgerline's platform covers general ledger, invoicing, bank feeds, GST and BAS lodgement, payroll integration and a practice management module. It is sold directly to SMEs and through accounting and bookkeeping practices that resell the platform to their clients. The company is headquartered in Sydney, with engineering teams in Sydney and Newcastle and a customer support centre in Wollongong. It employs 214 full-time equivalent staff.

Recurring subscription revenue is about 94% of total revenue. The balance comes from implementation, training and payment processing fees.

3.2 History

Date	Event
August 2014	Founded in Newcastle NSW by Daniel Jardine and Priya Jessop as a bookkeeping automation tool for sole traders.
March 2017	Launched the full cloud general ledger and the accounting practice reseller programme. Headquarters moved to Sydney.
June 2021	Halcyon Growth invested A$28.0M in a primary and secondary equity round.
November 2023	Acquired TallyBridge Pty Ltd, a BAS lodgement and practice workflow provider, for A$11.5M. Integrated into the platform by mid 2024.
September 2025	Crossed A$35M ARR and released the practice management and automated bank reconciliation modules. Audited FY25 accounts signed with an unqualified opinion.

Company milestones

3.3 Customers and channel

The company has approximately 9,400 paying business accounts and 1,150 accounting practices. Practices act as both resellers and users of the practice management module. The top 20 practices contribute about 17% of ARR, or roughly A$7.0M. The channel lowers customer acquisition cost and supports retention, but it creates concentration in a small number of practice relationships. Lenders should also note the dependence on third-party integrations, including bank feeds and the ATO lodgement gateway.

3.4 Payroll tuck-in

The planned acquisition of a payroll software business will deepen the existing payroll integration and extend the platform into a module that practices commonly request. Estimated consideration is A$12.5M, funded from the initial draw. The delayed-draw tranche of A$5.0M is available for further permitted acquisitions. The integration plan covers product migration, retention of key technical staff and delivery of forecast cost synergies. Acquisition metrics and the integration plan will be provided in the data room.

4. Sponsor and management

4.1 Sponsor

Halcyon Growth Partners Pty Ltd, as manager of Halcyon Growth Fund II, acquired a significant minority interest in June 2021 through a A$28.0M primary and secondary equity round. Halcyon Growth has two board seats, one of which is held by the Chair. The sponsor is not a guarantor of the facility. Lenders are invited to discuss sponsor support arrangements, including any equity cure right, during the term sheet stage.

4.2 Directors

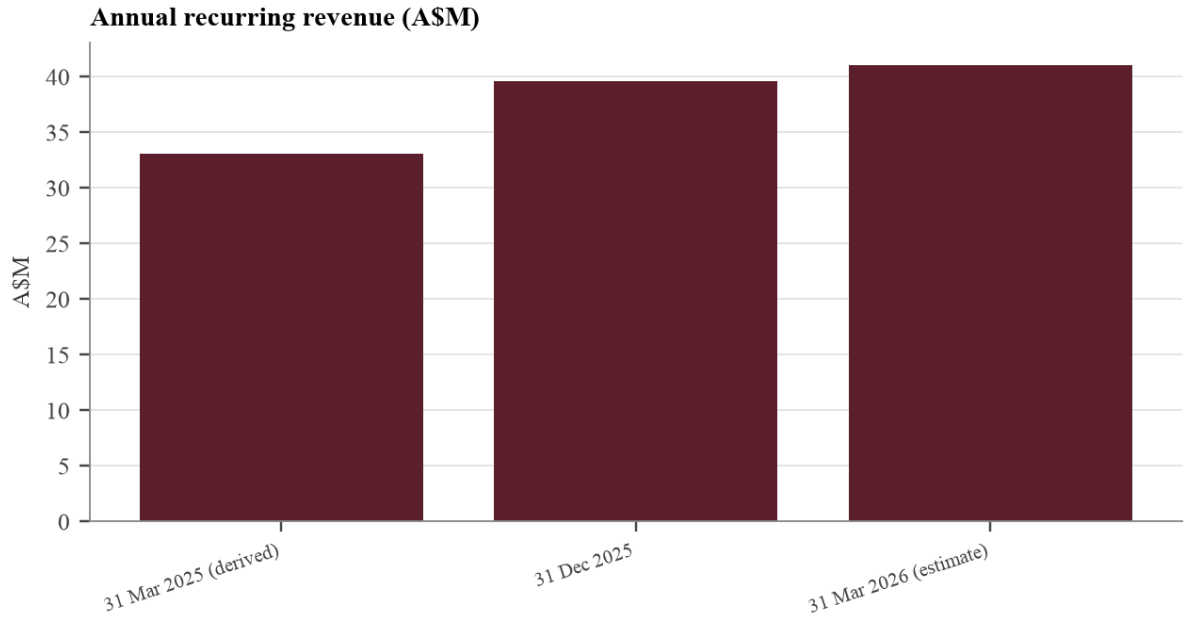
Director	Role
Priya Jessop	Chief Executive Officer and Executive Director
Daniel Jardine	Co-founder and Executive Director (Chief Technology Officer)
Marguerite Ostrander	Non-executive Director (Halcyon Growth nominee) and Chair

Directors

Ms Raghunathan and Mr Whitcombe founded the business in 2014 and continue to lead commercial and technology functions respectively. Both founders remain in executive roles, which limits key person transition risk but also concentrates it.

5. Financial performance

5.1 ARR development



ARR at selected dates. The March 2025 figure is derived from 24.0% year-on-year growth to A$41.0M. ARR is unaudited.

ARR has grown 24.0% over the 12 months to 31 March 2026, and by A$1.4M (3.5%) in the three months from 31 December 2025. The ARR bridge below is derived from the reported retention rates and is approximate.

ARR bridge	A$M
Opening ARR, 31 March 2025 (derived)	33.1
Churn and downgrades (gross retention 92%)	(2.6)
Expansion, seat growth and price increases	5.3
New customers	5.2
Closing ARR, 31 March 2026 (estimate)	**41.0**

Derived ARR bridge, 12 months to 31 March 2026

Net revenue retention of 108% implies that existing customers contribute about 8 points of the 24 point growth rate, and new customers about 16 points. The treatment of annual contracts and the timing of recognising price increases will be tested in due diligence.

5.2 Profit and loss

LTM to 31 December 2025	A$M
Recurring subscription revenue (about 94%)	36.6
Implementation, training and payment fees	2.3
Total revenue	38.9
Gross profit (79% margin)	30.7
Operating costs, net of capitalised development	(24.6)
Adjusted EBITDA	6.1

LTM summary (management accounts, unaudited; operating costs derived)

Adjusted EBITDA margin is 15.7%. The company has historically capitalised a material share of its development costs, so reported EBITDA is higher than it would be if those costs were expensed. Lenders should assess free cash flow after capitalised development, and the due diligence report will present both views. Audited FY25 accounts, prepared by Brennan Hartley & Co Chartered Accountants, carry an unqualified opinion.

5.3 Use of growth capital

Retained cash of A$6.8M, together with operating cash flow, will fund engineering capacity in Sydney and Newcastle and additional sales capacity directed at the practice channel. Management's budget and the allocation between product development and sales will be provided with the updated financial information.

6. Valuation and security

6.1 Valuation

Marlow Quay Valuation Advisory Pty Ltd has been engaged to provide an independent valuation, scheduled for 6 March 2026. The indicative enterprise value used in this memorandum is A$164.0M, being 4.0x ARR of A$41.0M. The final figure may differ. No property or construction asset is involved, so no quantity surveyor report is required.

6.2 Security package

- First ranking general security deed over all present and after-acquired property of the borrower.
- Share security over the borrower and its material subsidiaries, with guarantees from those subsidiaries.
- Specific security over intellectual property, including source code and registered marks, and over customer contracts and receivables.
- Assignment of the acquisition agreement rights and warranties for the payroll tuck-in, and accession of the acquired business to the security group.
- Subordination of shareholder loans, if any, to the facility.

6.3 Loan to value

Measure	Value
Drawn debt to ARR	0.73x
Facility limit to ARR	0.85x
Drawn debt to adjusted EBITDA	4.9x
Drawn debt to indicative enterprise value	18.3%
Facility limit to indicative enterprise value	21.3%

Leverage and loan to value

ARR multiple	EV at ARR A$41.0M (LVR on limit)	EV at ARR A$32.8M (LVR on limit)
3.0x	A$123.0M (28.5%)	A$98.4M (35.6%)
4.0x	A$164.0M (21.3%)	A$131.2M (26.7%)
5.0x	A$205.0M (17.1%)	A$164.0M (21.3%)

Enterprise value sensitivity. The right-hand column assumes a 20% fall in ARR.

The facility limit equals the enterprise value only at an ARR multiple of 0.85x. Software enterprise values depend on market multiples that can change quickly, and lenders should consider the sensitivity above and the potential for a sale process to take time.

7. Key risks and mitigants

Risk	Mitigant
Competition from larger incumbent accounting platforms with greater scale, pricing power and ecosystem reach.	Practice channel, local GST and BAS functionality, and the practice management module. Minimum ARR covenant.
SME churn is sensitive to insolvency rates. Gross revenue retention of 92% leaves limited buffer.	Diversified base of about 9,400 accounts. Monthly retention reporting. Minimum ARR and liquidity covenants.
ARR is unaudited. Definitions, annual contract treatment and price increase timing need verification.	Kestrel Assurance Partners to verify ARR to billing data. Compliance certificates to use an agreed ARR definition.
Dependence on the practice reseller channel (top 20 practices about 17% of ARR) and third-party integrations.	No single practice dominates. Reporting of channel concentration. Integration contingency review in due diligence.
Integration risk on the payroll tuck-in, including product migration, key person retention and cost synergies.	Condition precedent on acquisition documents. Integration plan reporting. Delayed-draw use limited to permitted acquisitions.
Refinancing and exit risk, as the facility is interest only and repayment depends on ARR growth, sponsor support or a sale.	Cash sweep from month 25. Debt to ARR covenant. Sponsor engagement on refinancing planning ahead of maturity.

Risk summary

8. Proposed covenants and undertakings

Financial covenants are proposed to be tested quarterly. The indicative levels below are for discussion and will be finalised in the term sheet, with headroom set against the base case model.

Covenant	Indicative level	Reference
Minimum ARR	A$34.0M	A$41.0M at 31 March 2026
Maximum total debt to ARR	1.00x	0.73x at close
Minimum liquidity	A$3.0M	A$6.8M at close

Indicative financial covenants

- Monthly ARR, retention and cash reporting, and quarterly compliance certificates.
- Annual audited accounts within 120 days of year end, and an annual budget.
- Restrictions on further financial indebtedness, distributions and acquisitions other than permitted acquisitions.
- Mandatory prepayment on change of control and on material asset disposals.
- Hedging of an agreed proportion of the interest rate exposure, to be discussed.

9. Conditions precedent

- Executed facility documents and security, with registration on the Personal Property Securities Register.
- Completion of financial due diligence by Kestrel Assurance Partners, including ARR verification and review of capitalised development.
- Independent valuation from Marlow Quay Valuation Advisory Pty Ltd, acceptable to lenders.
- Legal due diligence and opinions from Tolland Reeve Lawyers.
- Executed payroll tuck-in acquisition agreement, with satisfactory due diligence.
- Payout letter and release of security for the existing bank term debt of A$9.0M.
- Evidence of insurance, including cyber and professional indemnity cover.
- Management accounts to 31 March 2026 confirming ARR of not less than agreed levels.

10. Process and contacts

Lenders are invited to submit indicative offers following review of this memorandum and the data room, to be provided on execution of a confidentiality undertaking. Corvane Capital Advisory Pty Ltd is the debt arranger. Management presentations will be arranged on request. All enquiries must be directed to Corvane Capital Advisory and not to the company, its employees, its customers or its sponsor.

Prepared by Corliss & Grant Advisory, 9 February 2026.